

pens to be domiciled is often more or less irrelevant. If a Swedish company exports 90 percent of what it makes and 35 percent of those goods are sold in the United States and 25 percent in Japan, is it really a Swedish stock? We assign each company to a country, but the assignment is often arbitrary.

Buy American?

Some investors insist that it is still best to stick to U.S. companies, where you can count on full disclosure, protective regulation, no currency hedging questions, and plenty of Wall Street research. By owning multinational companies, they further argue, you can still reap the harvest of growing economies abroad.

In answer, I would say first that diversifying away from the U.S. dollar is probably valuable in itself. You don't want all your money in one stock, or in one industry, and I'm not sure you want all your money in one currency. That's particularly true in light of the debt trap this country has got itself into and what that portends for the economy and the dollar. Over the last couple of decades the U.S. debt-to-GDP ratio has gone from 25 percent to 55 percent, and I am one of those who believe this puts us on a straight line to disaster. Interest payments on our national debt eat so much of the budget that it will be very difficult to ever balance it.

The debt situation is paralleled by our enormous balance-of-trade deficit. Foreign holders of our dollars have been recycling them into Treasury bills, but they're sick of it, so we have to keep our interest rates higher than they'd otherwise be in order to talk the Japanese and Taiwanese into owning more dollar assets. High interest rates can lead to recession, which cuts tax revenues and increases the debt even more.

It's a trap, all right, the unintended consequence of people trying to be nice—by giving away pensions and health care and unem-